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Redistribution is fraught with trouble

Difficulties with paternalism

Discussions about poverty often involve person X getting unhappy that poor people do not buy (say) music lessons. This may reflect poverty. It may also reflect preferences (poor people may not value music lessons enough). There is an ever-present danger of paternalism, of policy thinkers who feel they know how poor people should lead their lives.

Poor people have their own tastes and their own budget constraints. We should respect what they are doing. Poor people have minds and preferences and pursue their own objectives. All over India, millions of poor people are *choosing* to walk away from a free public school and pay for the services of a private school. We should respect what they are doing and try to find out the reasons for this choice.

When we organize public policy around the problem of market failure, there is the possibility of rational discussion around the identification of problems and the identification of interventions. We can debate whether a market failure is indeed present, we can debate about whether the proposed intervention is the lowest cost intervention, and we can debate about whether the costs to society are outweighed by the benefits.

Where paternalism begins, however, we are down to value judgements. When one person wants to use state coercion to give shoes to poor people, and another wants to use state coercion to give shirts to poor people, there is no rational way to settle the disagreement.